SOP: Monthly Residual Report Download, Entry & Reconciliation

SOP ID	FIN-OPS-004	Version	1.0
Owner	Finance & Operations Analyst	Reviewer	Finance Manager
Frequency	Monthly, business days 3–8	Est. time	3–4 hours

1. Purpose

This SOP walks through capturing every processor and gateway residual each month: loading it into the tracker in a standard format, flagging missing or abnormal revenue, and reconciling reported revenue to bank deposits before partner payouts are released. A new analyst should be able to run it end to end on Day 1.

2. When This Process Is Used

Business Day	Step	Output
BD 3–5	Download residual reports as each processor publishes them	Raw files saved to the monthly folder
BD 5–6	Normalize and load into Residual_Data	Tracker updated
BD 6	Review exception flags	Exception log updated
BD 7	Reconcile to bank deposits	Reconciliation tab complete
BD 8	Reviewer sign-off; release partner payouts	Payout summary approved

3. Prerequisites

- Individual (not shared) login to each portal listed in the Portal_Audit tab. Request access from the Finance Manager. Never use another person's credentials.
- 2FA set up on a company-controlled device or authenticator, never a personal phone number.
- Edit access to the Revenue Share Tracker and the shared folder */Finance/Residuals/YYYY/YYYY-MM/*.
- Read access to the operating bank account (statement and deposit detail).

4. Procedure

Step 1: Download each source report

- Open the Portal_Audit tab. Work top to bottom, one row per portal. The **Best Source-of-Truth Report** column names the exact report to pull.
- Log in → Reports → Residuals → select the **prior calendar month** (the report month, not the deposit month).
- Export in the format listed (CSV preferred). Do not export PDF if CSV is available.
- Save as **SOURCE_YYYY-MM_Residual.csv** (e.g., *ProcessorA_2026-09_Residual.csv*). Never overwrite a prior month's file.
- If a report is not yet published by BD 5, note it in the exception log and follow the escalation path in Section 7.

Step 2: Identify the merchant

- Match each report row to Merchant_Map using **MID first**, then legal name, then DBA. DBA names are not unique; do not match on DBA alone.

- A MID that is not in Merchant_Map is a new merchant. Stop, add it to Merchant_Map with processor, gateway, and partner from the onboarding record, and have the reviewer confirm the partner assignment.

Step 3: Enter data into Residual_Data

Tracker column	What to enter	Source field (typical)
Month	Report month as text, YYYY-MM	Report period
Merchant ID	Internal ID from Merchant_Map	Matched via MID
Source	Processor or gateway name exactly as in the drop-down	n/a
Revenue Type	Processing Residual or Gateway Fee	n/a
Volume ($)	Net sales volume for the month	Net Volume / Sales Amount
Gross Revenue ($)	Residual paid to us, after processor expense	Net Residual / Agent Payout

Do not edit: the Partner, Effective Split, Partner Payout, and Company Net columns (black text, formula-driven), or Partner_Rules. Split changes need a signed agreement and reviewer approval. **Do not** subtract the processor's "Expense" column a second time; the residual is already net of it.

Step 4: Review exception flags

- In Rev_Share_Calc, set Selected Month and Prior Month. Filter the **Exception Flag** column for non-blank values.
- **VOLUME, NO RESIDUAL:** the merchant processed but wasn't paid. Treat it as probable leakage and escalate.
- **ZERO REVENUE:** confirm whether the merchant closed (check processor notices or the CRM) or is missing from the report.
- **MoM >25%:** confirm the cause (onboarding ramp, seasonality, pricing change). Document it; no escalation if it's explained.
- Log every flag in the Reconciliation exception log with root cause, action, owner, and target date.

Step 5: Reconcile to bank

- For each source, enter the deposit amount from the bank statement in **Bank Deposit ($)**. Match on the ACH company name and the deposit date.
- Assign a **Variance Category** to every non-zero variance (Timing, Fees, Reserve Activity, Refunds, Chargebacks, ACH Rejects, Processor Adjustment, Missing Data, Duplicate Data, True Error).
- Confirm that **Variance with no category = $0** and **Report total ties to Rev_Share_Calc** shows Ties. Never plug a variance to force a match.

Step 6: Sign-off and payout release

- Send the reviewer the tracker link, exception log, and reconciliation status.
- After approval, pay the amounts in the Partner Payout Summary **Outstanding** column, then record them in **Amount Paid**.
- Hold payouts for any partner tied to an open True Error until it is resolved.

5. Common Exceptions & Troubleshooting

Symptom	Likely cause	Resolution
Deposit lower than report	Fees netted, reserve, or clawback	Check the deposit detail or adjustment report; categorize the variance
Deposit missing	Timing (publishes after month-end)	Check the first 5 BD of next month; categorize as Timing
Merchant missing from report	Processor reporting error or MID change	Confirm volume in the merchant statement; escalate to the processor rep
Duplicate rows after load	Report re-exported or re-pasted	Filter on Month + Merchant ID + Source; delete the duplicate only after review
#N/A in Partner column	Merchant not in Merchant_Map	Add the merchant (Step 2); never type over the formula

6. Controls

- Preparer and reviewer are different people.
- Raw source files are kept unedited for audit trail.
- Split changes require a signed agreement on file.
- Portal access is reviewed quarterly and removed within 1 business day of offboarding.

7. Escalation Path

Issue	First contact	Escalate to (if unresolved in 3 BD)
Report not published / missing merchant	Processor relationship rep	Processor ISO manager → Finance Manager
Unexplained variance > $250	Finance Manager	Controller / CFO
Partner dispute on payout	Finance Manager	Partnerships lead
Portal access / 2FA lockout	Portal admin	Finance Manager

8. Completion Checklist

[ ]	All portals in Portal_Audit pulled; files saved with the naming convention
[ ]	Every row matched to Merchant_Map by MID; new merchants added and approved
[ ]	Residual_Data loaded; no duplicates; no #N/A
[ ]	Every exception flag logged with root cause and owner
[ ]	Every variance categorized; unexplained variance = $0
[ ]	Report total ties to Rev_Share_Calc
[ ]	Reviewer sign-off received; payouts released and Amount Paid updated